

Diageo plc (NYSE: DEO / LSE: DGE)

Beverages — Spirits & Wine | Research note dated 2 Oct 2026 | Based on FY2026A results (6 Aug 2026) and market data as of 29 Sep 2026

View: BUY — undervalued on FY2026A fundamentals

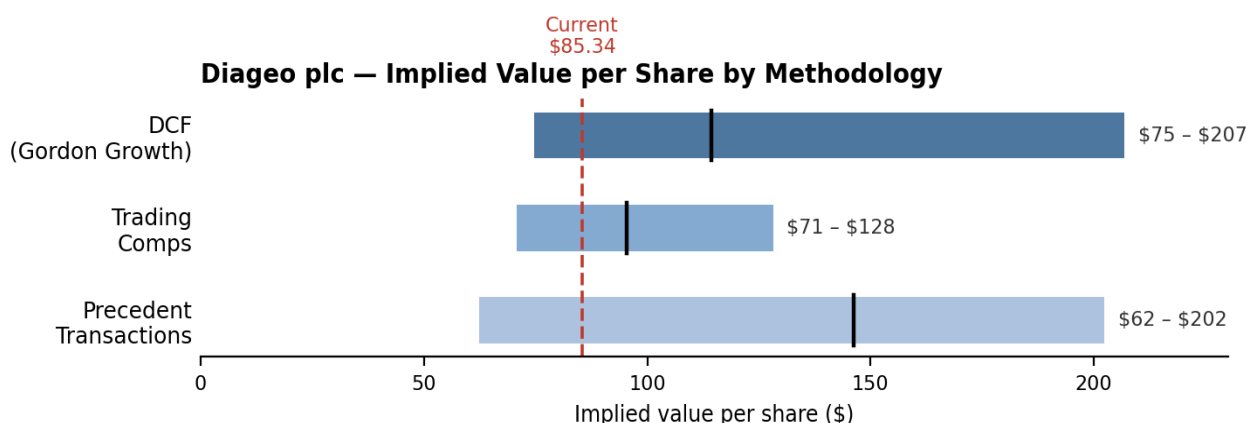
Current price: **\$85.34** | Fair value range: **\$71 – \$128** (trading comps) | Central estimate: **~\$105 (+23%)**

Investment Summary

On FY2026A fundamentals (year ended 30 June 2026, published 6 Aug 2026), Diageo shares at \$85.34 look **undervalued**. Trading comparables — the method most grounded in current market pricing — imply a median fair value of \$95.31 (+11.7%), and the DCF base case implies \$114.43 (+34%). Both estimates moved higher than an earlier version of this model that had inadvertently used FY2025A financials: Diageo's FY2026A adjusted EBITDA (\$6,650m) is higher than previously assumed, and net debt (\$20.5bn) is lower — both of which push every method's implied value up, independent of any forecast assumption. The DCF's larger premium still rests partly on continued delivery of Diageo's new c.\$1bn, 3-year cost programme, but FY2026A results already show 116bps of margin expansion despite a 3.0% sales decline, which is itself evidence the programme is working. Precedent M&A transactions imply a much higher, control-premium-inflated range (\$62–\$202, median \$146) shown as context, not a primary anchor. Net: even the more conservative, market-grounded method (trading comps) now shows double-digit upside, which is a more decisive signal than a roughly flat read.

Valuation

Methodology	Low	Base / Median	High	vs. current (\$85.34)
DCF (Gordon Growth)	\$74.62	\$114.43	\$206.86	+34.1%
Trading Comps (EV/EBITDA)	\$70.79	\$95.31	\$128.21	+11.7%
Precedent Transactions (EV/EBITDA)	\$62.41	\$146.15	\$202.37	+71.3%



WACC build-up: risk-free rate 4.95% (US 10Y Treasury) + beta 0.60 × 5.5% equity risk premium = 8.25% cost of equity; after-tax cost of debt 4.13%; capital weights 69.8% equity / 30.2% debt (updated for FY26A net debt and current market cap) → **WACC = 7.01%**.

Terminal g \ WACC	6.01%	6.51%	7.01%	7.51%	8.01%
1.0%	\$119.85	\$105.46	\$93.46	\$83.32	\$74.62
1.5%	\$134.36	\$117.11	\$103.00	\$91.23	\$81.28
2.0% (base)	\$152.49	\$131.35	\$114.43	\$100.59	\$89.06
2.5%	\$175.80	\$149.15	\$128.41	\$111.82	\$98.24
3.0%	\$206.86	\$172.02	\$145.87	\$125.54	\$109.26

Even at the least favourable sensitivity-grid corner (WACC 8.01%, g 1.0%), implied value (\$74.62) still sits below current price by only ~13%, and most of the grid is above the current price — the valuation is directionally robust to the WACC/growth assumptions, even if the exact magnitude is not.

Key Drivers

Revenue growth. FY2026A net sales fell 3.0% reported (organic -2.0%), driven by US Spirits weakness and Chinese white spirits headwinds. The forecast assumes only gradual stabilisation (+0.5% FY27E rising to +3.0% FY30E) rather than a snap-back, since Diageo's own 3-year framework (guided alongside FY26 results) emphasises profit growth via cost savings over an explicit sales recovery target.

Margin recovery — already underway, not purely prospective. EBIT margin before exceptionals reached 28.9% in FY2026A, up 116bps year-on-year despite the sales decline, on the back of \$540m of in-year savings from the new operating-framework redesign. Management has guided a further c.\$1bn of savings (c.\$850m operating-framework, c.\$150m supply-chain) phasing in mostly over FY27–FY28. The forecast assumes margin reaches c.30.3% by FY31E — a continuation of a trend already visible in the data, not a hoped-for turnaround.

Capex intensity. Capex fell to c.6.1% of sales in FY26A (\$1.2bn, from \$1.5bn/7.6% in FY25A), already ahead of where an earlier version of this model expected it to be by FY30E. The forecast assumes a continued gradual decline to 5.5% by FY31E. Terminal value is 79% of enterprise value in the base case, so this assumption still has an outsized effect on the headline number via the terminal year's free cash flow.

Risks and What Would Change This View

Margin gains stall: if the remaining c.\$1bn savings programme is delayed or only partially realised and margin plateaus near FY26A's 28.9% rather than reaching c.30%, DCF fair value falls toward the high-\$90s, converging with the trading-comps estimate — still above the current price, but with less of a margin of safety.

Rates move against the position: the sensitivity grid shows a 100bp rise in WACC (to ~8.01%) cuts the base-case fair value from \$114.43 to \$89.06 — still above the current price, which is itself a sign the undervaluation case is not solely a WACC artefact, unlike the first version of this model.

Sector consolidation: live M&A talk (Pernod Ricard / Brown-Forman, March 2026) and the precedent transaction multiples here (median 15.3x EV/EBITDA vs. ~11x for trading comps) suggest a real takeout premium exists in the sector. A confirmed approach for Diageo itself, however unlikely near-term, would shift the relevant benchmark from the comps range toward the precedent-transaction range.

Methodology & Data Note

The valuation model (DCF, trading comps, precedent transactions) was built in Excel from Diageo's FY2026 preliminary results (6 Aug 2026) and public market data. A companion Python pipeline (`yfinance + pandas`) automates live data collection for Diageo and four listed peers, including currency-correct conversion across USD/EUR-listed names. An earlier version of this note was built on FY2025A financials despite FY2026A results already being public — flagged on review, not caught by the pipeline itself, and corrected here. It mattered: the FY2026A base year changes the headline conclusion from roughly fairly-valued to undervalued, since Diageo's actual FY2026A EBITDA and net debt are both more favourable than the prior model's estimates, independent of any forecast assumption. Separately, building the data pipeline surfaced three vendor data-integrity issues: Yahoo Finance's precomputed enterprise-value field overstated Diageo's EV by roughly 12x; an ADR-share-count sanity check initially flagged a false mismatch that was itself a flawed assumption; and the 10-year Treasury yield was initially miscalculated by a factor of 10 from an incorrect assumption about a data provider's quoting convention. The common thread across all four issues: check the data's currency and provenance before trusting a number, not just its internal arithmetic. Code: github.com/Suleiman666/diageo-valuation-data.

This is a personal, educational exercise using public information, prepared as part of placement-application preparation. It is not investment research and not investment advice. Figures are sourced from Diageo's FY2026 Preliminary Results (6 Aug 2026), Diageo's FY2026 Annual Report / Form 20-F, and third-party market data as of 29 September 2026, as cited in the underlying model; all figures are traceable to the model or a cited source. Prepared 2 October 2026 — share price and market data will have moved since.